

Hold your cut in CRR horses, RBI

As anyone having a **smidgen** of knowledge of how to run a company knows, easy **availability** of funds for businesses **is** far more crucial than the cost of those funds. That's why **liquidity** actions **take precedence** over policy rates. Since the **money market** has been on rough seas for a while now, banks want RBI to give a **nod** to their demand for cut in **cash reserve ratio** (CRR). This would give them about ₹1.3 lakh cr of their funds that's with the regulator without earning interest. So, here's the ₹1.3 lakh cr question: should the regulator **oblige** them? If financial markets are facing a **quake**, RBI must be prepared for a tsunami. A cut in CRR will certainly help banks and asset managers. But this may not be **desirable** when uncertainty, to put it **mildly**, is all around.

RBI has been quick to respond to **liquidity tightness** through bond purchases, and **FX swaps** that have **eased crunch** in the money market. In December, it also cut CRR 50 bps. Can it afford one more 'heave-ho'? Like other central banks, RBI, too, faces challenges from T2 - Trump-tariffs. Few dispute their **inflationary** effects. But none is able to **quantify** them. **Unlike** traders in the **treasury desk**, India's central bank can't keep **flipping** positions.



So, there's little need to cut CRR when banks are getting as much funds they need through the **liquidity window**. From RBI's position, it's more of a monetary than liquidity tool. Unlike **OMO** (open market operation) purchases, or FX, which can be **halted** or resumed based on market conditions, CRR decisions can't be **rolled back**, as it signals long-term direction of policy. RBI is likely to be generous in **dividend** payment to GoI. Once that flows back into the system, liquidity will certainly improve. So, RBI can **jolly delay** its next big gift.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

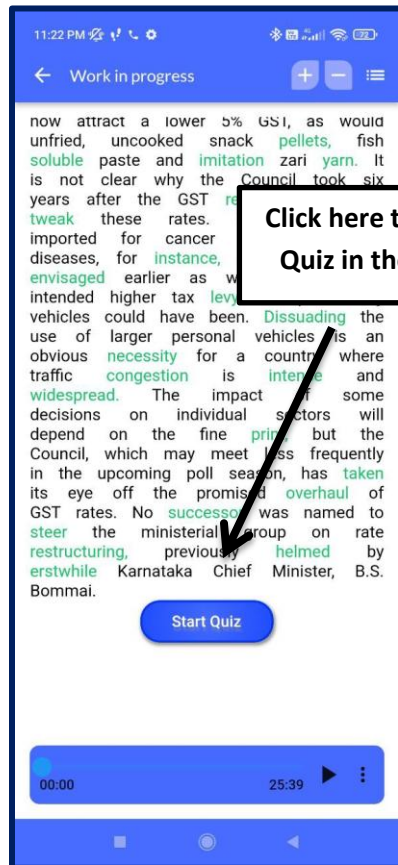
1. **Hold your horses** (phrase) – wait, slow down, be patient, hold on, pause थोड़ा धैर्य रखना
2. **Smidgen** (noun) – bit, trace, tiny amount, dash, modicum बहुत थोड़ी मात्रा
3. **Liquidity** (noun) – the availability of liquid assets to a market or company. नकदी प्रवाह
4. **Take precedence** (noun) – be more important, outweigh, override, dominate, come first प्राथमिकता प्राप्त करना
5. **Money market** (noun) – the trade in short-term loans between banks and other financial institutions. मुद्रा बाजार
6. **Nod** (noun) – approval, consent, agreement, go-ahead, green light स्वीकृति
7. **Cash reserve ratio (CRR)** (noun) – the percentage of a bank's deposits that it must keep in cash with the Reserve Bank of India (RBI)
8. **Oblige** (verb) – accommodate, fulfill, comply, satisfy, agree अनुग्रह करना
9. **Quake** (noun) – shake-up, disturbance, shock, tremor, disruption हलचल
10. **Desirable** (adjective) – preferable, beneficial, ideal, recommended, suitable इच्छित
11. **Mildly** (adverb) – slightly, gently, moderately, softly, faintly थोड़ा
12. **Liquidity tighten** (verb) – situation where readily available cash or liquid assets become scarce, making it harder for businesses and financial institutions to meet their short-term obligations, नकदी में कमी होना
13. **FX swap** (noun) – A simultaneous purchase and sale of identical amounts of one currency for another with two different value dates and may use foreign exchange derivatives.
14. **Ease** (verb) – alleviate, reduce, relieve, soften, lessen कम करना
15. **Crunch** (noun) – shortage, squeeze, crisis, scarcity, tightness कमी
16. **Heave-ho** (noun) – a phrase that you say or shout when you are making a big effort to pull or lift something
17. **Inflationary** (adjective) – price-raising, cost-increasing, economy-heating, rising-cost, value-eroding मुद्रास्फीतिजनक
18. **Quantify** (verb) – measure, calculate, express, estimate, evaluate मात्रा निर्धारित करना
19. **Unlike** (preposition) – different from, dissimilar to, in contrast to, not like, opposed to के विपरीत

20. **Treasury desk** (noun) – A fixed income or money market desk that is devoted to buying and selling interest bearing securities. कोष प्रबंधन विभाग
21. **Flipping position** (noun) – changing stance, switching sides, reversing decision, altering position, shifting view
रुख बदलना / स्थिति पलटना
22. **Liquidity window** (noun) – a mechanism, often introduced by a regulatory body like SEBI, that allows investors to sell their debt securities (like bonds) back to the issuer before maturity, enhancing liquidity and flexibility in the market नकदी सुविधा खिड़की
23. **OMO** (open market operation) (noun) – a monetary policy tool used by central banks to influence the money supply and manage interest rates by buying or selling government securities in the open market
24. **Halt** (verb) – stop, pause, cease, discontinue, suspend रोकना
25. **Roll back** (phrasal verb) – reverse, withdraw, repeal, cancel, undo पलटना
26. **Dividend** (noun) – profit share, pay-out, earnings distribution, return, reward
लाभांश
27. **Jolly delay** (phrase) – It means to use a light-hearted or cheerful approach to postpone something

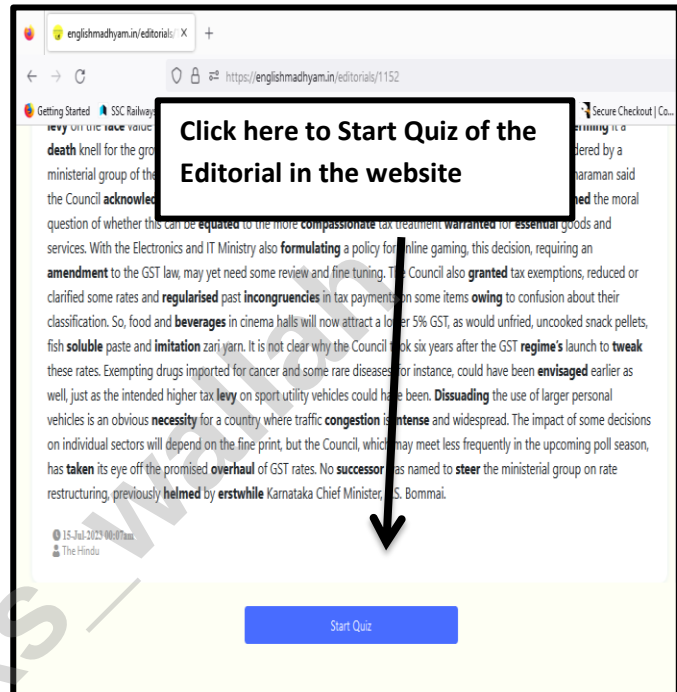
Summary of the Editorial

1. **Liquidity vs. Interest Cost** – For businesses, the availability of funds (liquidity) is more important than their cost (interest rates).
2. **Banks' Demand** – Banks are urging the RBI to cut the **Cash Reserve Ratio (CRR)** to free up ₹1.3 lakh crore, currently held with the central bank without interest.
3. **Liquidity Crunch** – The money market has been experiencing tight liquidity, prompting these calls.
4. **CRR Cut Implication** – A CRR cut would benefit banks and asset managers, injecting more funds into the system.
5. **Timing Concerns** – However, given the present uncertain economic environment, such a move might not be prudent.
6. **RBI's Response So Far** – RBI has already addressed tight liquidity through **bond purchases** and **foreign exchange swaps**.
7. **Previous CRR Cut** – In December, RBI had already reduced the CRR by **50 basis points** to ease pressure.
8. **Policy Constraints** – Unlike other liquidity tools like OMO or FX swaps, a CRR cut is harder to reverse and sends a long-term policy signal.
9. **Inflation Risks** – Global uncertainties like **Trump's tariffs** (T2) are inflationary, adding complexity to monetary policy decisions.
10. **Stability Preference** – The RBI prefers stability and cannot flip decisions frequently like market traders.
11. **Current Liquidity Tools Working** – Banks are currently accessing adequate funds via the RBI's liquidity windows.
12. **Monetary vs. Liquidity Tool** – RBI views CRR more as a monetary policy instrument than a short-term liquidity solution.
13. **CRR Rigidity** – Once cut, CRR is difficult to hike again without causing negative signals, unlike flexible liquidity operations.
14. **Upcoming Dividend** – The RBI is expected to pay a generous dividend to the government, which will eventually boost liquidity in the system.
15. **Recommendation** – Therefore, RBI should **delay** any further CRR cuts and continue using other liquidity tools for now.

Practice Exercise: Banking Pattern Based



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